Government Grants and the Fundraising Budget

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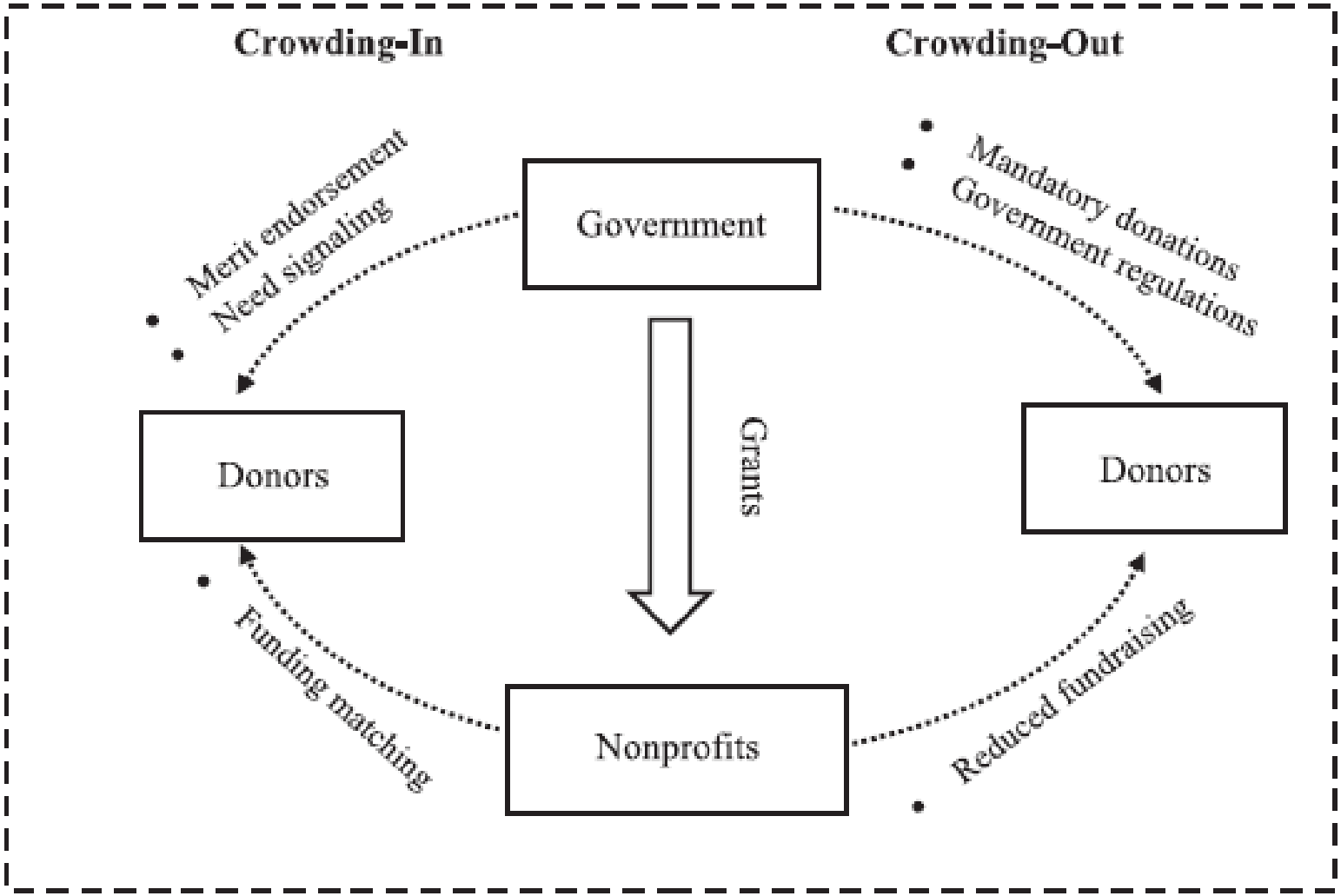
2. Compiling the Grant Application
3. The Fundraising Budget

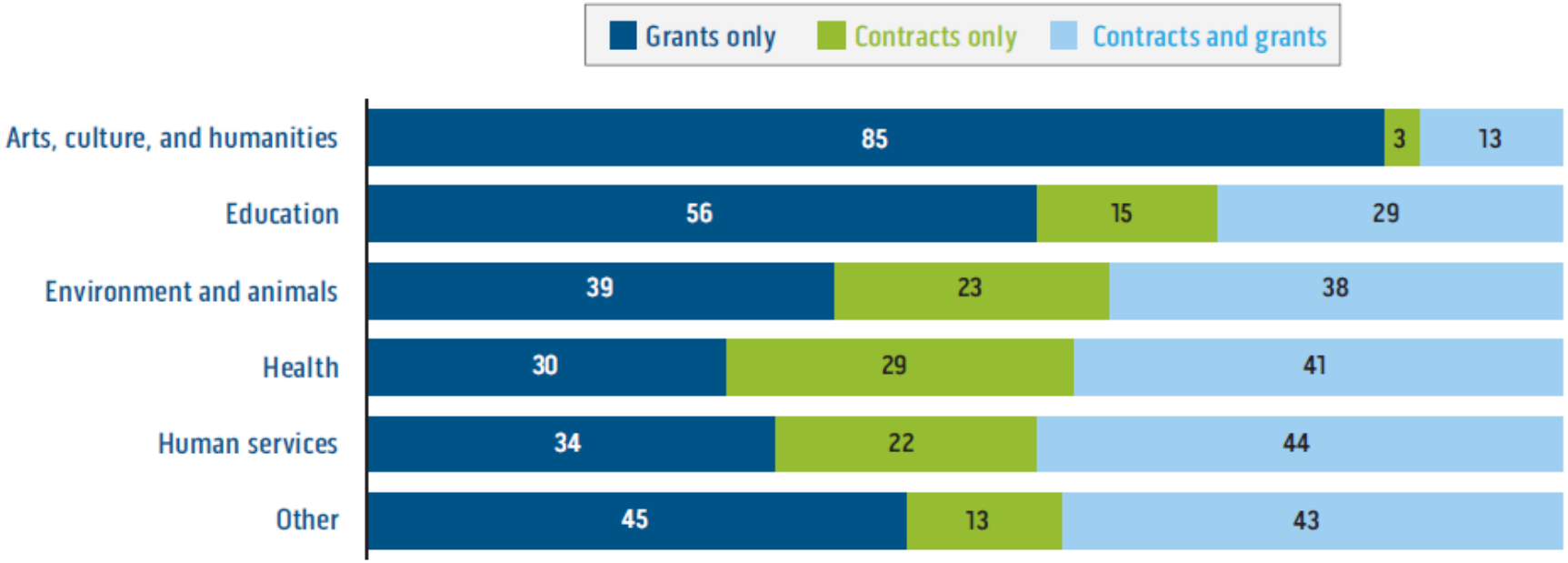
Government Grants and Fundraising Contributions



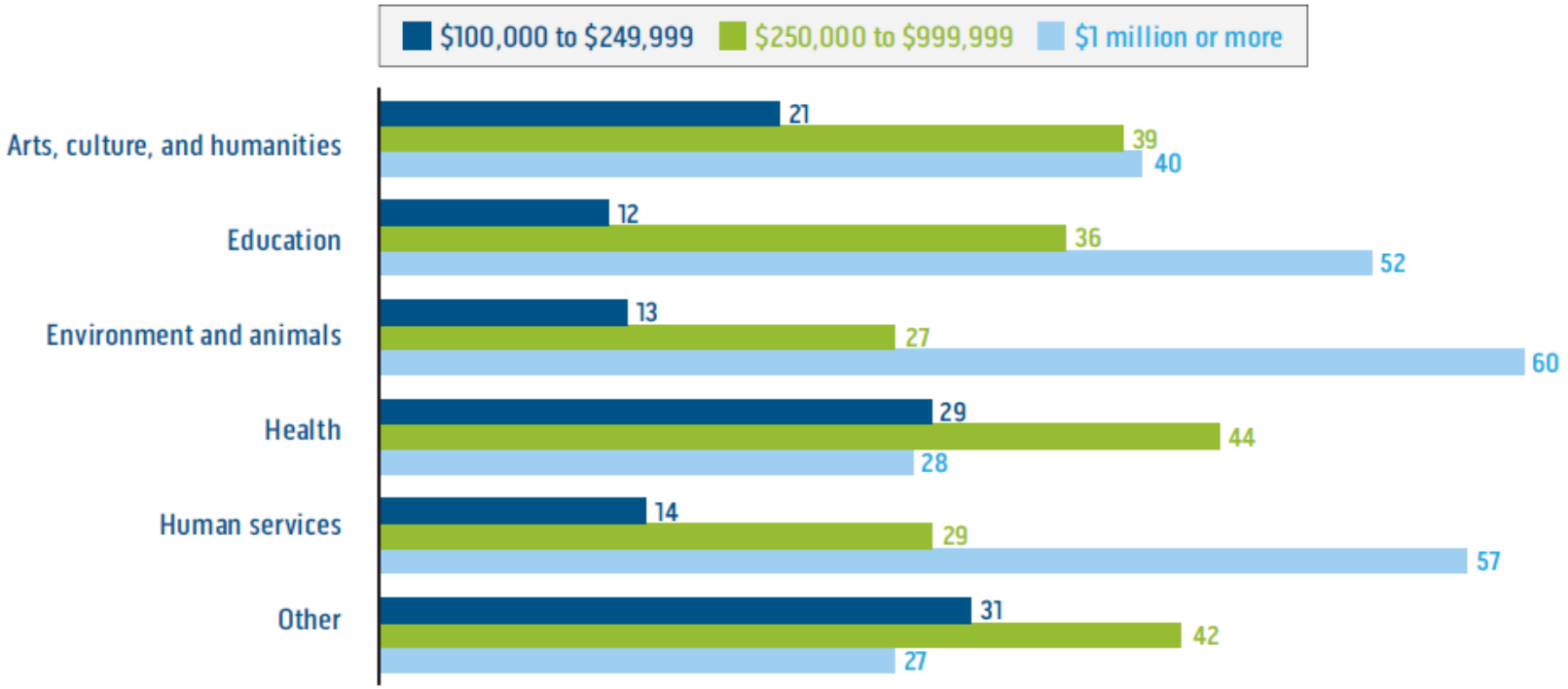
Government Funding of the Nonprofit Sector

Type of Organization	Number	Percent	Mean ($)	Median ($)	Total ($ millions)	Percent
Arts, culture, and humanities	7,189	12.9	152,074	33,600	1,081	0.8
Education	3,828	6.9	1,392,814	157,034	5,223	3.8
Environment and animals	2,359	4.2	560,871	101,800	1,306	1.0
Health	6,729	12.1	5,586,483	545,082	36,448	26.5
Human services	29,483	52.9	2,826,338	387,732	80,565	58.6
Other	6,114	11.0	2,203,786	274,688	12,769	9.3
Overall	55,702	100.0	2,543,870	250,000	137,392	100.0

Government Grants and Contracts by Organization Type



Nonprofits with Government Grants and Contracts

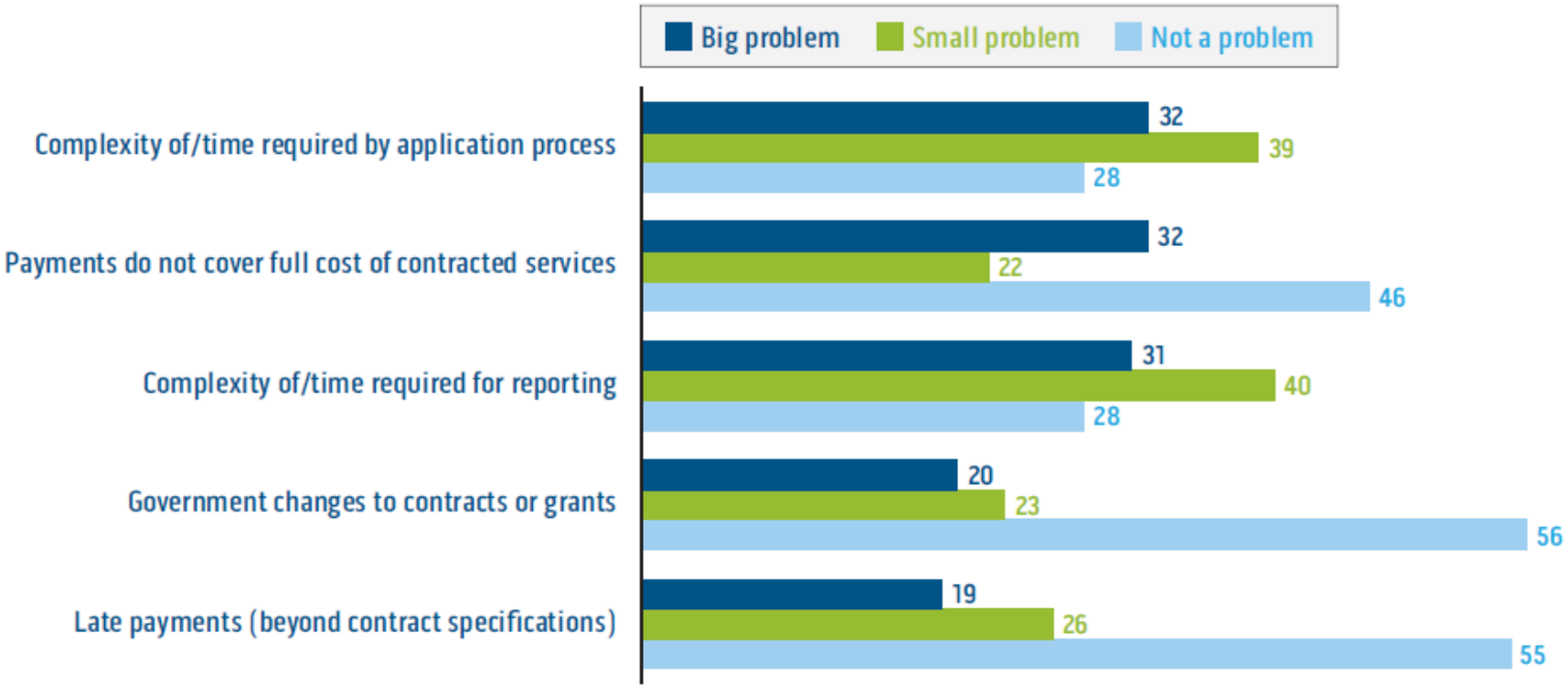


Government Grants and Contracts by Organization Size

PERCENT OF REPORTING PUBLIC NONPROFITS[a]

	Government contracts and grants	Total
Less than $100,000[b]	—	40
$100,000 to $249,999	17	20
$250,000 to $999,999	36	21
$1 million to $4.99 million	31	12
$5 million or more	16	7
	100	100

Common Issues with Applying for Government Grants



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The Grant Application Process

1. Research and Identify Grant Opportunities
2. Review Grant Guidelines
3. Develop the Grant Proposal
4. Prepare your Supporting Documents
5. Submit your Grant Application
6. Follow-up Communication
7. Grant is Awarded (or Rejected)
8. Stewardship and Reporting (for Accepted Grants)

Finding The Grant

- Many nonprofit organizations fund their operations through grants in addition to fundraising
- Applying for grants is a time consuming process, so before you begin, you should consider the following about a grant:
  1. The format of the application (Generally found in the grant's Request for Proposal [RFP])
     - You want to make sure that the instructions in the RFP match the capacity the organization has for application, and that the project meets the grant guidelines
  2. The motivation of the fundraising source
  3. The amount of funds awarded by the grantor along with total funds
  4. An example of successful applications funded in previous cycles
  5. The individuals making fundraising decisions
  6. The selection criteria

Beginning the Grant

- After selecting the grant you wish to apply for, you will need to compile your grant application
- The general application will usually be compiled with the following sections
  1. Cover Letter addressing the following:
     - Addressed to the appropriate individual at the grantor agency
     - Containing a one-sentence description of the proposal
     - Provides a summary of fund use
     - List the total amount of funds requested
     - Provides contact information for the organization
  2. Executive Summary
  3. Introduction
     - This section should be concise providing context for the program you are seeking funding for.
     - Clearly state the purpose of the program and how it aligns with the organization's mission and overarching goals.
     - Provide background information on the issue or need that your program aims to address, including relevant statistics, trends, and research findings to highlight the significance and urgency of the problem.

The Program Description

- The heart of the application will be in the program description, which usually is compiled of the following pieces:
  1. Program Goals and Objectives
     - Articulate the overarching goals and specific objectives of the program.
     - Goals should represent the broad, long-term outcomes you hope to achieve, while objectives should be specific, measurable, achievable, relevant, and time-bound (SMART).
     - Ensure that goals and objectives are realistic and achievable within the scope of the proposed program and the funding period.
  2. Program Design and Activities
     - Describe the design of the program, including the key components, strategies, and activities that will be implemented to achieve its goals.
     - Provide a detailed overview of each program activity, outlining what will be done, who will be involved, where and when activities will take place, and how they will contribute to achieving program goals.
     - Highlight any evidence-based practices, innovative approaches, or best practices that will inform program design and implementation.

The Program Description Continued

3. Target Population and Beneficiaries
   - Clearly define the target population that the program will serve
   - Describe how the program will reach and engage the target population
   - Highlight the anticipated benefits and outcomes for beneficiaries
4. Collaborations and Partnerships
   - Identify any key collaborators, partners, or stakeholders
   - Describe the nature of these collaborations and partnerships, including roles and responsibilities, resources contributed, etc.
   - Emphasize the value of partnerships in leveraging additional resources, expertise, and community support
5. Budget
   - A detailed breakdown of anticipated costs to implement and maintain the program
   - Personnel costs (salaries, benefits, consultants, contract services)
   - Other costs (travel, office space, equipment, consumable supplies, etc)
   - Note: Several government grants require cost sharing from the organization, particularly from larger organizations

The Program Description Continued

6. Evaluation and Measurement
   - Outline the evaluation plan for the program, including the methods, tools, and indicators that will be used to assess program effectiveness
   - Specify how data will be collected, analyzed, and reported on to track outcome
   - Highlight the importance of continuous learning and adaptive management
7. Sustainability and Impact
   - Discuss the sustainability of the program beyond the grant period
   - Describe the anticipated short-term and long-term impact of the program
   - Provide examples or testimonials that illustrate the potential impact of the program on program participants, beneficiaries, and the broader community.

Concluding the Grant and Calling to Action

- Summarize the key points of the program description where you:
  - Emphasize the importance of the program
  - Emphasize the program's impact
  - Emphasize the need for funding support
- Reinforce the alignment of the program with the funder's priorities and objectives
  - Emphasize the shared commitment to addressing critical issues and making a positive difference
- Conclude with a clear call to action, inviting the funder to invest in your program and partner with your organization to achieve meaningful and sustainable change.

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Constructing the Fundraising Budget

- A well constructed budget provides a guide for how fundraising expenses should be allocated based on set line items
- In constructing a fundraising budget, you will generally start with the previous years budget. From there, you should answer the following:
  - How is the current fundraising program doing?
  - How much money did the organization raise?
  - Is the board and CEO mostly happy with how fundraising is going?
  - Will incremental budgeting or zero-based budgeting be used?
  - How will other organizational needs impact our budget?
- Nonprofits need to spend money (investing in fundraising) to make money
  - The development team needs to be ready to argue to leadership how fundraising costs are an investment rather than an expenditure

Fundraising Expenses and Revenue

- Expenses can be split into direct and indirect costs:
  - Direct Costs: General nonprofit expenses like rent, accounting expenses, utilities etc
  - Indirect Costs: Expenses happening specifically because a program exists. Fundraising examples include salary, training, mileage, etc
- Similarly, fundraising revenue (also known as contributions or income) can be split into restricted and unrestricted contributions:
  - Restricted Contributions: Gifts that have been designated for specific purposes
  - Unrestricted Contributions: Gifts that can be used at nonprofit discretion to further the mission of the organization

Creating the Fundraising Budget

- Most nonprofit budgets have a separate column for each program, including fundraising.
- When building out the budget, not only will an organization plan for inputs, but it will also plan fundraising output and metrics.
- Fundraising performance evaluation metrics include:
  - Cost to raise a dollar (total spent / total raised)
  - Net fundraising return or fundraising return on investment (total raised - total spent / total spent)
- The Association for Fundraising Professionals has several tool for a nonprofit organization to evaluate several fundraising metrics
  - The Fundraising Fitness Test
  - Fundraising Net Analyzer
- Experts are trending away from percentage benchmarks due to the lack of economies of scale in smaller organizations
- **Economies of Scale**: reductions in a firm's per-unit cost of production associated with the use of large plants to produce a large volume of output